

DESIGN & IP	FRONT-END FAB	OSAT / PACKAGING	EMS / PCB	EQUIPMENT & MATERIALS
Key Players Qualcomm India, ARM India, MediaTek India, InCore Semiconductors, Saankhya Labs, Signalchip	Key Players Tata Electronics (Dholera, Gujarat) PSMC JV HCL-Foxconn (Jewar, UP)	Key Players Tata Semiconductor Assembly (Assam) CG Semi (CG Power + Renesas + Stars Micro) Kaynes Semicon Micron Technology	Key Players Kaynes Technology, Syrma SGS, Amber Enterprises, Dixon Technologies	Key Players Applied Materials (Bengaluru hub) ASML Domestic gas & chemical suppliers
Recent Deals NXP acquired Kinara.ai (AI processors) for USD 307 Mn 24 DLI projects approved 14 startups funded (₹6.5 Bn VC)	Recent Deals Tata-ASML 300 mm fab agreement (May 2026) HCL-Foxconn: ₹3,700 Cr SEZ notified April 2026	Recent Deals TSAT: ₹27,000 Cr investment, 48 Mn chips/day Kaynes: ₹3,307 Cr in Sanand Multiple OSAT facilities in progress	Recent Deals Syrma-Shinhyup JV (multi-layer PCB) Amber-Korea Circuit (HDI/flex/substrate PCB) Active outbound acquisitions	Recent Deals Applied Materials: USD 2 Bn+ innovation hub in Bengaluru ISM 2.0 targets domestic equipment production
Capital Type VC, Growth Equity, Strategic Acquisition	Capital Type Government grants, strategic JV, FDI subsidy	Capital Type PLI-backed capex, PE platform builds	Capital Type Growth equity, cross-border M&A, JV	Capital Type PE / strategic, ISM 2.0 incentivised

An overview of where the capital is flowing in India's semiconductor value chain

ecosystem at this scale would not be possible without sustained government support. If we look at successful semiconductor economies such as Taiwan, Japan, and China, all of them benefited from strong policy backing during their formative years,” Gaurav adds.

Although India entered the semiconductor race later than established manufacturing nations, recent policy momentum has improved confidence in its long-term prospects. At the same time, rapid growth in electric vehicles (EVs), automotive electronics, telecommunications, defence, power electronics, industrial automation, data centres, and artificial intelligence (AI) is driving domestic semiconductor demand. India's domestic demand alone is becoming sufficiently large to sustain significant semiconductor investments, even before considering export opportunities.

As a result, companies from Japan, Germany, Israel, and the United States (US) are actively exploring partnerships, investments, and acquisitions in India. While listed semiconductor companies continue to command healthy valuations, Asthana notes that many promising private firms remain

comparatively undervalued, presenting attractive long-term investment opportunities.

Investment is also broadening beyond fabrication projects into the wider semiconductor value chain. India has long been recognised for semiconductor design services through multinational global capability centres, but Gaurav says the ecosystem is now moving towards proprietary product development.

Companies such as Kaynes, Syrma, Amber, and Dixon are steadily moving up the value chain, while the relatively underdeveloped equipment and tooling segment presents significant opportunities for Indian startups.

Capability, not capacity, is driving investment

Although investment is expanding across the semiconductor value chain, different segments are

attracting different types of capital. Venture capital firms, private equity investors, and strategic acquirers are focusing primarily on chip design and IP, electronics manufacturing services (EMS), printed circuit board (PCB) manufacturing, and equipment, materials, and tooling, where innovation-led businesses can scale relatively quickly.

Front-end fabrication and out-sourced semiconductor assembly and test (OSAT), by contrast, continue to depend largely on industrial groups and government-backed initiatives because of their substantial capital requirements.

“These businesses require investments ranging from approximately ₹15 billion to ₹50 billion or more. Consequently, they are primarily funded by large industrial groups with long investment horizons rather than traditional venture investors,” explains Gaurav.

Case Study: Why NXP Acquired Kinara

Gaurav cites NXP Semiconductors' acquisition of Kinara as an example of how semiconductor deals are increasingly driven by technology rather than scale. “It was not about revenue. It was about capability,” he says. Kinara's proprietary semiconductor IP complemented NXP's automotive and industrial technology roadmap, enabling it to acquire proven technology rather than develop it in-house.

The deal highlights the growing value of differentiated products and proprietary IP in attracting investment, premium valuations, and strategic acquisitions.